

Retail Research	IPO Note
Sector: IT - Software	Price Band (Rs): 102 - 108
05 th August 2024	Recommendation: Subscribe for Long Term Investment Horizon

Unicommerce eSolutions Ltd.

Company Overview:

Unicommerce eSolutions Ltd provides SaaS (Software as a Service) products for e-commerce operations offering products such as Inventory and Warehouse Management System (WMS), the multi-channel Order Management System (OMS), the omni-channel Retail Management System (Omni-RMS), seller management panel for marketplaces (Uniware), post-order services related to logistics tracking and courier allocation (UniShip), and payment reconciliation (UniReco). The company's solutions streamline e-commerce fulfillment operations ensuring efficient order processing and becoming a critical part of the clients' supply chain.

Key Highlights:

1. Largest e-commerce enablement SaaS platform: Unicommerce is India's largest e-commerce enablement SaaS platform enabling end-to-end management of e-commerce operations for brands, sellers, e-commerce marketplaces and logistics service providers. The company enjoys a large base of enterprise clients using its products.

2. Wide range of plug-and-play integrations: The company has a wide range of technology and partner integrations including 131 Marketplaces and WebStore integrations, 101 Logistics Partner integrations and 11 ERP, POS and other system integrations. These integrations help to manage post-purchase e-commerce operations, automate order processes, update inventory information and connect financial systems which makes Unicommerce an essential part of the client's tech stack.

3. Diverse Client base with upsell and cross-sell capabilities: The company has built a large and expanding client base in retail and e-commerce in India and internationally. The clients include D2C brands, traditional offline brands, e-commerce retailers, marketplaces and SMBs across various sectors such as fashion, electronics, FMCG, beauty, sports, fitness and logistics. Clients include prominent brands such as Lenskart, FabIndia, Mamaearth, Sugar Cosmetics, Wow Skin Science, Boat, PharmEasy & Cello.

4. Proprietary technology platform catering to different industries: The company's products and integrations are built on a proprietary technology platform to meet clients' varying needs across different operations, industries and sectors. The technology is designed to enhance performance with a focus on providing scalability, efficiency, data security and concurrency. The SaaS platform is hosted on a cloud server which lowers the incremental server and software costs for the company as it grows its revenue.

Valuation: The company is valued at FY24 P/E multiple of 48.6x at the upper price band. Unicommerce eSolutions is an indirect play on the fast-growing e-commerce industry. It derives 96% of its revenues from clients located in India and has a large enterprise client base. Its diverse product offerings allow the company to upsell and cross sell its offerings leading to higher annual recurring revenue. Unicommerce's revenue/EBITDA/PAT have grown at a CAGR of 32%/69%/48% over FY22-24. We recommend subscribing to the issue for long term investment horizon.

Issue Details	
Date of Opening	06 th August 2024
Date of Closing	08 th August 2024
Price Band (Rs)	102 - 108
Offer for sale (no of shares)	2,56,08,512
Fresh Issue (Rs cr)	-
Issue Size (Rs cr)	261 - 277
No. of shares	2,56,08,512
Face Value (Rs)	1
Post Issue Market Cap (Rs cr)	1,045 – 1,106
BRLMs	IIFL Securities, CLSA India Private Limited
Registrar	Link Intime India Private Limited
Bid Lot	138 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB shares	15%

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	4,98,18,246	48.6
Public & Others	5,26,15,802	51.4
Total	10,24,34,048	100.0

Post Issue @ Lower Price Band	No. of Shares	%
Promoter & Promoter Group	4,03,79,974	39.4
Public & Others	6,20,54,074	60.6
Total	10,24,34,048	100.0

Post Issue @ Upper Price Band	No. of Shares	%
Promoter & Promoter Group	4,03,79,974	39.4
Public & Others	6,20,54,074	60.6
Total	10,24,34,048	100.0

Source: RHP, SSL Research

Key Financials

Rs cr	FY22	FY23	FY24
Revenue from operations	59	90	104
EBITDA	5	7	14
Adjusted EBITDA*	7	11	18
PAT	6	6	13
EBITDA Margin (%)	8.5	7.3	13.9
Adj EBITDA Margin (%)	12.1	12.0	17.5
PAT Margin (%)	10.2	7.2	12.6
ROE (%)	14.5	12.5	19.0
ROCE (%)	16.7	17.1	25.9
PE (x)	105.8	98.2	48.6

Source: RHP, SSL Research; * EBITDA derived by adding back the share-based payment expenses (part of employee exp)

Risk Factors

- **Research and Development Risk:** The company's business model depends on its ability to develop and innovate comprehensive suite of products. Any failure to develop and innovate its technology and product offerings in a timely and effective manner may lead to loss of competitive edge and market share.
- **Client Risk:** In order for the company to grow its revenue and profitability, it has to maintain its existing customer base and also focus on acquiring new clients. Any failure to enhance or improve product offerings along with timely development and launch of new products may lead to ineffectiveness in retaining existing and adding new clients.
- **Technology Risk:** The industry is characterized with intense competition and rapid changes in technology, client requirements and industry standards. Presence of competitors with broader product lines and greater technological resources may hinder the company's ability to acquire top clients.
- **Seasonality Risk:** The industry experiences seasonality with respect to holidays and festival periods in the country. The business peaks when e-commerce marketplaces hold special promotional campaigns especially in the third quarter of a fiscal year. Presence of seasonality leads to challenges in forecasting demand for services and volatility in service volumes. Any failure to meet demand associated with seasonality in a timely manner may adversely affect the company's business and financials.

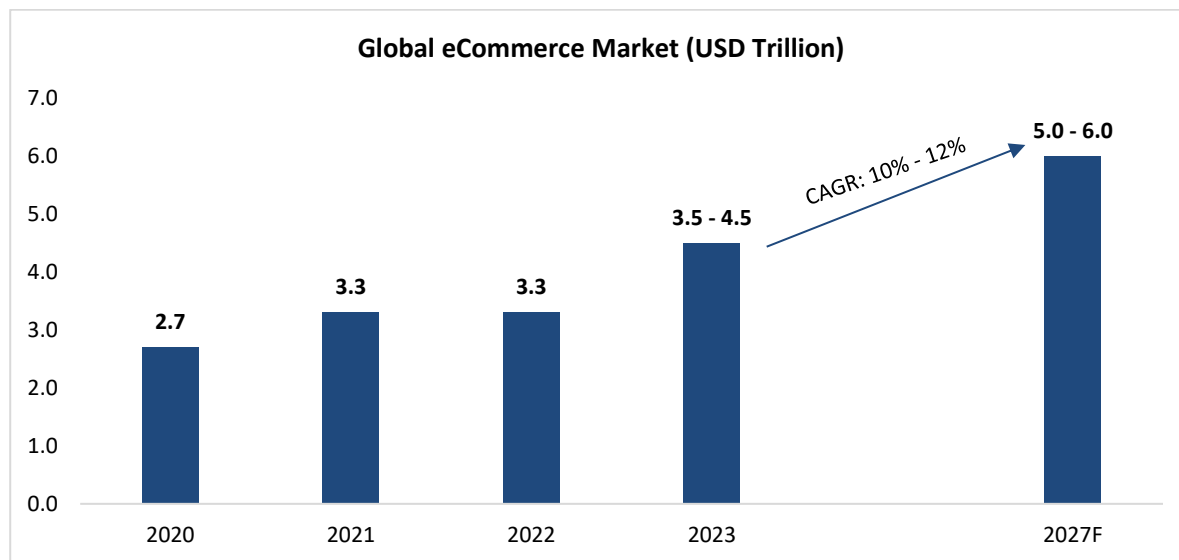
Growth Strategy

- To continue to expand its India business.
- To expand global footprint over time through expansions in current international markets.
- To develop and invest in SaaS products and to develop additional complementary products.
- To enhance product portfolio of existing SaaS products and building advanced features for more use cases.
- To continue to improve financial performance with expanded margins through increased operating leverage.

Industry Overview

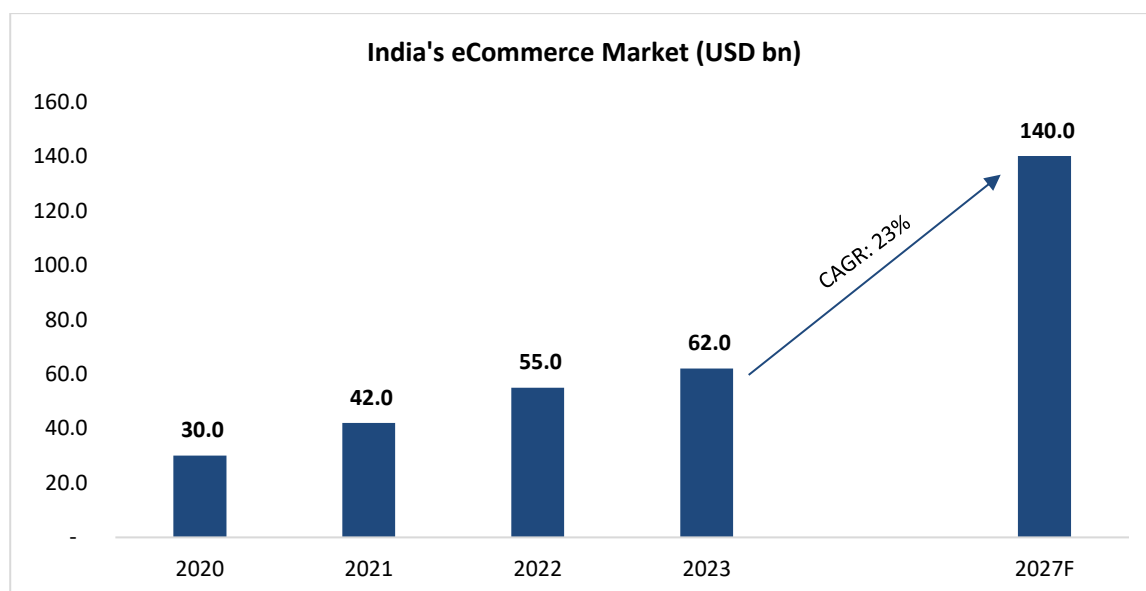
Global eCommerce Market

The global eCommerce market is anticipated to grow by a CAGR of 10%-12% between the forecast period 2023-2027, to reach USD 5 - 6 trillion from the current value of USD 3.5 – 4.5 trillion. As of 2023, China and USA dominated the market, jointly accounting for ~53% of the global eCommerce sales. These larger markets are expected to grow at a CAGR of 8% - 9% between the forecast period. On the other hand, markets like India, SEA and the Middle East are anticipated to grow by higher growth rates of around 23-26%, 16-18%, and 18-20% respectively.



Source: RHP, SSL Research

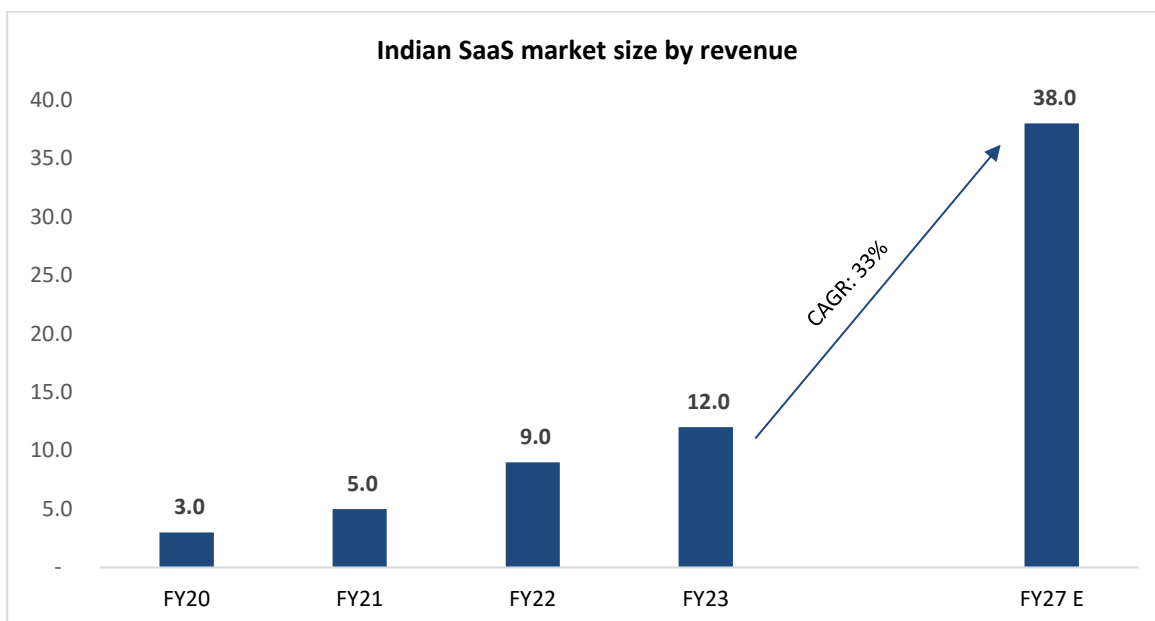
The **Indian eCommerce Market** reached ~USD 62 billion in 2023 and accounted for almost 7% of the total retail sales in the country. At a CAGR of 23%, the market is expected to reach a value of approximately USD 140 billion by 2027. The increasing internet user base owing to low internet data prices, participation of low-tier cities and changing consumer behavior are some of the factors which will drive growth in the industry. India is projected to have approximately 350 million online shoppers by 2027.



Source: RHP, SSL Research

Indian SaaS market

The Indian Software-as-a-Service market was valued at ~USD 12 bn in FY23 and is expected to reach ~USD 38 bn by FY27 at a CAGR of 33%. The availability of large and cost-effective talent pool in the country and support from the government will help the segment market grow as it stands out as a preferred choice for small and medium sized companies due to its scalability and cost effectiveness. Going forward, the Indian SaaS market is projected to seize ~7% of the global market share by 2027.



Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY22	FY23	FY24
Revenue from Operations	59	90	104
YoY growth (%)	-	52.6%	15.0%
Cost Of Revenues (incl Stock Adj)	3	5	5
Gross Profit	56	85	98
Gross margins (%)	94.5%	94.0%	94.8%
Employee Cost	42	62	65
Other Operating Expenses	8	16	19
EBITDA	5	7	14
EBITDA margins (%)	8.5%	7.3%	13.9%
Other Income	2	3	6
Net Interest Exp.	0	0	0
Depreciation	0	1	2
PBT	7	9	17
Exceptional item/Extraordinary item	0	0	0
Tax	1	2	4
Adj PAT	6	6	13
Adj. PAT margin (%)	10.2%	7.2%	12.6%
Adj. EPS	1.0	1.1	2.2

BALANCE SHEET			
(Rs cr)	FY22	FY23	FY24
Assets			
Net Block	1	1	0
Capital WIP	0	0	0
Intangible Assets	0	0	0
Intangible Assets under development	0	0	0
Right of use assets	0	0	7
Other Non current Assets	33	6	9
Current Assets			
Current Investment	0	6	6
Inventories	0	0	0
Trade receivables	9	12	13
Cash and Bank Balances	15	27	1
Short-term loans and advances	0	0	0
Other Current Assets	2	30	72
Total Current Assets	25	75	92
Current Liabilities & Provisions			
Trade payables	7	9	13
Other current liabilities	7	15	14
Short-term provisions	1	1	1
Total Current Liabilities	15	25	28
Net Current Assets	11	50	64
Assets Classified as held for sale	0	0	0
Total Assets	44	57	81
Liabilities			
Share Capital	0	0	6
Reserves and Surplus	41	52	63
Total Shareholders Funds	41	52	69
Minority Interest	0	0	0
Total Debt	0	0	0
Long Term Provisions	3	5	5
Lease Liabilities	0	0	8
Other Long-Term Liabilities	0	0	0
Net Deferred Tax Liability	0	0	0
Total Liabilities	44	57	81

CASHFLOW (Rs cr)	FY22	FY23	FY24
Cash flow from Operating Activities	8.0	15.0	6.0
Cash flow from Investing Activities	(14.0)	10.0	(30.0)
Cash flow from Financing Activities	-	-	(2.0)
Free Cash Flow	7.0	14.0	6.0

RATIOS			
	FY22	FY23	FY24
Profitability			
Return on Assets	10.2%	7.9%	12.0%
Return on Capital Employed	16.7%	17.1%	25.9%
Return on Equity	14.5%	12.5%	19.0%
Margin Analysis			
Gross Margin	94.5%	94.0%	94.8%
EBITDA Margin	8.5%	7.3%	13.9%
Net Income Margin	10.2%	7.2%	12.6%
Short-Term Liquidity			
Current Ratio (x)	1.7	3.0	3.0
Quick Ratio (x)	1.7	3.0	3.0
Avg. Days Sales Outstanding	55	48	47
Avg. Days Inventory Outstanding	-	-	-
Avg. Days Payables	45	37	45
Long-Term Solvency			
Total Debt / Equity (x)	-	-	-
Interest Coverage Ratio (x)	-	-	45.9
Valuation Ratios			
EV/EBITDA (x)	123.3	93.3	44.0
P/E (x)	105.8	98.2	48.6
P/B (x)	15.4	12.3	9.2
EV/Sales (x)	10.5	6.8	6.1

Source: RHP, SSL Research

Peer Comparison – FY24

Particulars (Rs cr)	Unicommerce eSolutions	Rategain Travel	TBO Tek	Accelya Solutions
CMP	108.0	801.7	1,737.7	1,807.3
Sales	103.6	957.0	1393.0	511.0
EBITDA	14.4	190.0	258.0	193.0
Net Profit	13.1	145.0	201.0	94.0
Mkt Cap.	1106.3	9,064.0	18,332.0	2,583.0
Enterprise Value	1,105.0	8,689.0	17,688.0	2,510.0
EBITDA Margin (%)	13.9	19.9	18.5	37.8
Net Margin (%)	12.6	15.2	14.4	18.4
PE (x)	48.6	65.0	89.6	28.7
EV/Sales (x)	10.7	9.1	12.7	4.9
EV/EBITDA (x)	76.6	37.6	63.0	12.4
RoE (%)	19.0	13.0	47.0	42.0
RoCE (%)	25.9	17.0	42.0	57.0

For Unicommerce eSolutions, the Market Cap, PE (x), Enterprise Value and EV/EBITDA (x) are calculated on post-issue equity share capital based on the upper price band.

CMP of peer companies is as on 02nd August, 2024. Unicommerce eSolutions Ltd does not have any listed industry peers in India or abroad. We have chosen the above companies as peers based on the similarity in the business and revenue model.

Source: RHP, SSL Research

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